

The Philosopher in the Valley: Alex Karp, Palantir, and the Rise of the Surveillance State

Michael Steinberger

Location: 84

At Palantir, however, the pursuit of profitability—a goal that would prove frustratingly elusive—was always subordinate to what Karp and his colleagues saw as their higher purpose: making Palantir a sword and shield for America and for the West more broadly.

Location: 249

in 2006, a British mathematician and entrepreneur named Clive Humby gave a speech in London in which he boldly declared that “data is the new oil.” By this, he meant that data would henceforth be the fuel driving economic growth and material progress. His clever formulation became the catchphrase of the Big Data revolution. But during that same speech, Humby extended the oil analogy to make another critical point: like crude oil, data needs refining in order to be of real value.

Location: 259

Palantir’s software helps create order out of all this chaos. It is a tool for merging, managing, and analyzing large quantities of data. Palantir does not collect data on behalf of its clients, nor does it store or sell data; its technology simply enables organizations to make better use of their own data.

Location: 273

customers can use Palantir to run simulations, build new workflows, and otherwise act on the insights derived from their data.

Location: 301

But as Karp once put it, “Palantir is the convergence of software and difficult positions.”

Location: 942

From the start, Karp said that Palantir’s mission was to defend the West and liberal democracy. The company was a creation of 9/11 and of Karp’s pessimistic worldview. Even before 9/11, Karp was skeptical that the end of the Cold War had ushered in an era of irreversible peace and prosperity; the terrorist attack on the United States showed that this had been a dangerous delusion and that there were still lots of people who meant to do us harm.

Location: 963

Karp had particular contempt for Google and Facebook. He recognized early on that harvesting and selling personal data was at the heart of what they did and that what he saw as their ethically dubious business models had the potential to hurt Palantir; if there were ever a backlash against Big Data, people wouldn't necessarily recognize that Palantir operated in a fundamentally different way from Google and Facebook (in that Palantir didn't collect, store, or sell data). In time, Karp became reluctant to hire people from either company. Exceptions were made, but in general he believed that Google and Facebook employees, no matter how talented they were, had internalized a predatory approach to data that was anathema to Palantir.

Location: 995

if a potential hire at Palantir gave off even the faintest whiff of interest in IPOs and exit strategies, he or she wasn't getting the job. Shyam Sankar, who was the thirteenth person hired at Palantir and is now its chief technology officer, says it was a question of "mercenaries versus missionaries"—of people who were interested in potential windfalls versus those who were attracted to Palantir because of the work it did. Palantir wanted the latter and went to lengths to avoid hiring the former.

Location: 999

Palantir didn't pay all that well relative to other tech firms, which helped weed out the mercenaries. New employees had three compensation options: low cash/high equity, mid-cash/mid-equity, or high cash/low equity. But "high cash" wasn't all that high. Salaries were capped at what Karp was paid, and he took a modest salary: for most of Palantir's first decade, he was paid only around \$125,000 per year. This was true even through the mid-aughts, when the company had a \$20 billion valuation. "I only make money when you make money," Karp told his colleagues, and he meant it.

Location: 1,032

From its inception, Palantir had a policy of not hiring salespeople. According to Lonsdale, he and the other founders decided that a sales team would have a corrosive effect on innovation. "When you hire really strong alpha salespeople, they take over the culture," Lonsdale says. "They say, 'We're delivering the revenue, we're bringing the food home, and in order for us to feed you, we need X, Y, and Z.' The culture becomes really oriented around serving the alpha salespeople." The Palantirians believed that they could develop truly transformative technology and wanted to avoid a situation in which there would be pressure to push products out the door too quickly, and eschewing a sales force was a way of making sure that short-termism didn't prevail.

Location: 1,115

It turned out that dispatching software engineers to job sites was a shrewd strategy—it was a way of discovering what clients really needed in the way of technological help, of developing new features that could possibly be of use to other customers, and of building relationships that might lead to additional business within an organization. The forward-deployed engineers, as they came to be called, proved to be almost as essential to Palantir's eventual success as the software itself. But it was that original deployment to the CIA, and the iterative process that it spawned, that enabled Palantir to successfully build Gotham, its first software platform.

Location: 1,164

He stressed the importance that he attached to his own privacy: “I didn’t sign up for the government to know when I smoke a joint or have an affair.” The article cited a talk that he had given to Palantir employees, in which he said that part of Palantir’s mission and challenge was to ensure that civil liberties and personal privacy enjoyed strong protection amid the rise of surveillance technology. “We have to find places that we protect away from government so that we can all be the unique and interesting and, in my case, somewhat deviant people we’d like to be.”

Location: 1,171

From the outset, Karp recognized the danger inherent in the kind of technology that Palantir was building. Inevitably, a lot of the data that intelligence analysts waded through was personal—phone records, credit card bills, and so forth—and any software program that made their work easier could contribute to the erosion of privacy and civil liberties. The early engineers at Palantir were generally too young and besotted with coding to consider the broader implications of their work. But Karp was alert to the risks.

Location: 1,175

Karp came up with a novel idea for addressing worries about civil liberties: he asked the engineers to build privacy controls into the software. Gotham was ultimately equipped with two guardrails—users were able to access only information that they were authorized to view, and the platform generated an... Some highlights have been hidden or truncated due to export limits.

Location: 1,180

According to Max Chafkin, who wrote an unauthorized biography of Peter Thiel called *The Contrarian*, Thiel was initially skeptical of the privacy controls—even though he was an avowed libertarian. But when I interviewed Thiel at his office in Los Angeles in December 2019, he touted Palantir’s commitment to privacy and civil liberties. We met in an airy conference room with a wide view of the Hollywood Hills, and Thiel used a whiteboard to illustrate the privacy concerns that helped give rise to Palantir. With a black marker, Thiel drew a graph. At the end of one axis he wrote “Dick Cheney,” and at the other end he wrote “ACLU.” Cheney was vice president of the United States when 9/11 occurred and was known for his hawkishness. Thiel explained to me that Cheney represented “lots of security and no privacy,” while the American Civil Liberties Union, or ACLU, was “lots of privacy but little security.” After 9/11, Thiel said, it seemed likely that the Cheney view would prevail. He drew another axis, this one with “low-tech” at one end and “high-tech” at the other. “Low-tech” was a catchall for crude, highly intrusive technology that might be used by the government in its effort to combat terrorism. “High-tech,” he said, was technology that was far more effective but also less invasive. Thiel’s fear was... Some highlights have been hidden or truncated due to export limits.

Location: 1,237

But that spurned deal highlighted what was perhaps the greatest risk with Palantir: that the values that supposedly guided its work wouldn’t necessarily be shared by those who were buying its software.

Location: 1,270

no matter how well-intentioned Karp and his colleagues were, it was the end users who ultimately determined whether the software was employed ethically. And there were some scandals involving Palantir itself that called into question just how well-intentioned the company really was.

Location: 1,380

mission creep was something that privacy advocates and civil libertarians anticipated. Their foremost worry, in the aftermath of 9/11, was that innocent people would be ensnared as the government turned to mass surveillance to prevent future attacks, and the NSA scandal proved that these concerns were warranted. But another fear was that tools and tactics used to prosecute the war on terrorism would eventually be turned on Americans themselves. The increased militarization of police departments showed that “defending the homeland” had indeed morphed into something more than just an effort to thwart jihadis. Likewise, police departments also began to use advanced surveillance technology.

Location: 1,405

for Karp, the same logic that guided Palantir’s counterterrorism work applied to its efforts in law enforcement—people needed to feel safe in their homes and on their streets, and if they didn’t, they would embrace hard-line politicians who would have no qualms about trampling on civil liberties to give the public the security it demanded. Palantir’s software, at least as Karp saw it, was a mechanism for delivering that security without sacrificing privacy and other personal freedoms.

Location: 1,569

took Amazon seven years to book its first quarterly profit, and it was an online retailer, not a company trying to sell esoteric software to the government. Even so, Palantir was hemorrhaging money; as late as 2018, it had a net loss of almost \$600 million.

Location: 1,906

For some time, Thiel had been arguing that the United States had become stagnant—that even Silicon Valley, supposedly a wellspring of world-changing innovation, was failing to deliver on the promise of the digital revolution. In his judgment, the output of transformative technologies was declining, not accelerating. As he famously put it, “We wanted flying cars, instead we got 140 characters,” which was a swipe not just at Twitter but at Silicon Valley writ large. Thiel had come to believe that the political system needed a shock, an upheaval that would force America to reckon with its shortcomings and spark the inventiveness that he longed to see.

Location: 2,057

in Karp’s judgment, Trump had won in part because he took their concerns seriously and the Democrats did not. “Having no border is the surest way to elect Trump,” he said. It was the same way in Europe: the refusal of center-left parties to deal with legitimate worries about immigration had fueled the rise of the far right.

Location: 2,070

Trump had been elected in part on his promise to get tough on illegal immigration, and if Palantir decided to stop working with ICE, it would be defying the will of the voters and subverting the democratic process, which Karp was unwilling to do. This argument was Karp's justification for his decision in the summer of 2019 to renew Palantir's contract with ICE, a deal that would earn Palantir \$50 million over three years.

Location: 2,170

In September 2019, Karp published an op-ed in The Washington Post excoriating Google and the rest of Silicon Valley over what he claimed was their betrayal of the U.S. military and, by extension, American democracy. He suggested that Google's decision to bail on Maven had undermined national security and had subverted the will of the voters. "The U.S. marine serves; the Silicon Valley executives walk," Karp wrote, adding, "This is wrong." He noted that Palantir, by contrast, had stood by its contract with ICE in the face of protests because it was not its place to try to thwart decisions that had been made by elected officials. He said tech companies could not be permitted to exercise veto power over actions taken by the government. "This is not the way consequential policy decisions should be made," Karp argued. "I don't believe I should have that authority." He said policy belonged to policymakers, not "unelected engineers running global businesses in a precious corner of a golden state."

Location: 2,306

To Karp, the New Orleans fracas was emblematic of what he saw as the left's descent into mindless dogmatism. He said that many liberals now seemed "to reject quantification of any kind. And I don't understand how being anti-quantitative is in any way progressive." They also appeared more interested in posturing than in improving the lives of the people they were ostensibly seeking to assist. Karp said that he was actually the true progressive. "If you are championing an ideology whose logical consequence is that thousands and thousands and thousands of people over time that you claim to defend are killed, maimed, go to prison—how is what I'm saying not progressive when what you are saying is going to lead to a cycle of poverty?"

Location: 2,594

For Karp, the S-1 was an opportunity to enunciate Palantir's worldview, and the document that he and his team drafted would become, in their minds, a canonical text. "Our work and the use of our software present difficult questions," it said. "The construction of software platforms that enable more effective surveillance by the state of its adversaries or that assist soldiers in executing attacks raises countless issues, involving the points of tension and tradeoffs between our collective security and individual privacy, the power of machines, and the types of lives we both want to and should lead. The ethical challenges that arise are constant and unrelenting. We embraced the complexity that comes from working in areas where the stakes are often very high and the choices may be imperfect. The more fundamental question is where authority to resolve such questions—to decide how technology may be used and by whom—should reside."

Location: 2,601

“Our society has effectively outsourced the building of software that makes our world possible to a small group of engineers in an isolated corner of the country. The question is whether we also want to outsource the adjudication of some of the most consequential moral and philosophical questions of our time. The engineering elite of Silicon Valley may know more than most about building software. But they do not know more about how society should be organized or what justice requires.”

Location: 3,006

As important as the war in Ukraine was to Palantir, the October 7, 2023, pogrom in Israel was far more consequential in Karp’s view. It was certainly more personal.

Location: 3,011

A few days after Karp’s message on X, Palantir took out a full-page ad in the Sunday New York Times that said, “Palantir Stands with Israel.”

Location: 3,053

He was irked, too, by the silence of other Jewish business executives. He said that we had all grown up hearing the phrase “never again,” but now, in the face of a slaughter that had, on a per capita basis, claimed the equivalent of fifty thousand American lives, he was the only Jewish head of a publicly traded company who was standing up for Israel and denouncing antisemitism.

Location: 3,070

“We have been building products for a world that is violent, disjointed, and irrational, a world in which you have to show strength, a world in which if you do not show strength, people who are biased, xenophobic, dare I say it antisemitic, will rear their head [sic], a world in which you really have to pick sides,”

Location: 3,090

“There were unfortunately way too many people on October 7th who were happy, and we have to acknowledge we have a huge problem in the Western world with antisemitism,” Karp said. “Not all criticism of Israel is antisemitism, but a larger portion of it is than we realized. We have to call it out. And I’m one of the largest donors to the Democratic Party, and quite frankly I am calling it out and I’m giving to Republicans and if you keep up this behavior I’m going to change and a lot of people like me are going to change.”

Location: 3,109

The anti-Israel protests that erupted after October 7 caused Karp to feel even more alienated from progressives. By contrast, he praised the Republican Party for its strong support of the Jewish state. “I’m now very willing to overlook my disagreements with Republicans on other issues because of the position they have taken on this one,” he said. Karp had soured on the Democrats in part because of identity politics. Yet it was his own identity politics that was now driving him even further away.

Location: 3,173

Karp believed that DEI was at the root of the problems on campuses. DEI—diversity, equity, and inclusion—was a framework, adopted by universities, corporations, and other organizations, to redress the insufficient representation of minorities in their ranks. At the heart of DEI, Karp said, was a belief that America’s claim to being a meritocratic society was a lie—that for all the social progress that we had made as a country, systemic discrimination against women, blacks, gays, and other out-groups was a persistent factor in American life and could be remedied only by imposing DEI standards on institutions. But Karp said that Jews stood as inconvenient evidence to the contrary—they had “started below anyone else” and were now “arguably the most successful group in America,” a distinction they had achieved without assistance and often in the face of great hostility. “Jews unravel the whole ideology of DEI,” he said, and this, in his judgment, accounted for the hatred now being directed at them on campuses. Karp claimed that DEI was “the precursor to antisemitism” and needed to be dismantled.

Location: 3,443

For years, Palantir had been an outlier in the Valley because of its unwillingness to do business in China. The VC community, by contrast, had no hesitation about backing Chinese start-ups, and tech giants such as Apple and Google had major investments in China. But by 2024, the mood had shifted. It was partly in response to political pressure: first under Trump and then under Biden, there was a growing recognition that the U.S. relationship with China was fundamentally antagonistic and that giving China access to strategically important advanced technologies was not in America’s national interest.

Location: 3,474

Near the end of the summer of 2024, Paul Graham, a prominent Silicon Valley investor, published a blog post in which he said that the most effective corporate leaders were those who remain in what he called “founder mode”—who stay intimately involved with nearly all aspects of their businesses no matter how large their companies grow to be. Graham contrasted this with “manager mode,” in which CEOs, as their enterprises increase in size and complexity, provide instruction and guidance to their lieutenants but leave the implementation up to them. He claimed that founder mode had proven to be the more effective approach—there was no substitute for the vision, knowledge, and experience that a founder could bring to the factory floor, as it were. Graham’s observation immediately became received wisdom in Silicon Valley, as entrepreneurs and investors alike affirmed the advantage conferred by founder mode. And while Graham didn’t name-check Karp, few people in the tech industry embodied the idea more than Palantir’s CEO.

Location: 3,622

In the past, Karp had said that defending the West meant safeguarding its political order. As recently as 2020, in Palantir’s S-1, the company declared that its mission was “to support Western liberal democracy and its strategic allies.” But The Technological Republic gave no indication that Karp regarded democracy and its underpinnings, such as the rule of law, as essential to the West’s success and continued prosperity.

Location: 3,731

He said he had no patience for Trump’s critics and that panicked and disconsolate Democrats had only themselves to blame for Trumpism. “I don’t want to have endless conversations about Trump, because the other side is totally irresponsible,” he said. “They won’t do anything on immigration or Iran. They talk all the time about racism but won’t talk about antisemitism. I’m sick and tired of left-wing people fostering right-wing populist movements because they won’t be adults about these issues.”